1. Stakeholders in a business

- Stakeholders: People or groups of people that are affected by, and therefore have an interest in the activities of a business.
- Stakeholder concept: The view that businesses and their managers have responsibilities to a wide range of groups, not just their shareholders.

1.1. Customers

- Roles:
  - To buy goods and services
  - To give revenue from sales, which allows the business to function and expand
- Rights:
  - Obtaining goods and services that meet local laws regarding health and safety, design and performance
  - To be offered replacements, repairs or compensation if the product or service fails the minimum levels laid down by law
- Responsibilities:
  - Honesty – Payment for goods bought or services received when requested
  - Not committing theft
  - Not to make false claims about poor service, underperforming goods or failed items, to tarnish business's reputation out of personal spite

Suppliers

- Roles: To supply goods and services to allow the business to offer its products to its own customers
- Rights:
  - On-time payment as discussed or written in the service agreement between the business and suppliers
  - Fair treatment and not to be exploited by the customer business
- Responsibilities: Supply goods and services ordered by the business in the time and condition agreed upon by the purchase contract or supplier's service agreements

Employees

- Roles:
  - Provide manual and other labor services to the business, in accordance with the employment contract, to help in production of goods and services to be supplied to customers
- Rights:
  - Having an employment contract that meets legal standards, e.g. minimum wage rate
  - Treatment and payment in accordance with agreement on the employment contract
  - In most countries, to be allowed to join a trade union if desired without repercussions
- Responsibilities:
  - Meeting the conditions and responsibilities of the employment contract
  - Ability to cooperate with management in all reasonable requests
  - Observance the ethical code of conduct of the business

Local Community

- Roles: Observance the ethical code of conduct of the business; provides labor for the business.
- Rights:
  - To be consulted about major changes that affect it
  - E.g. expansion plans or changing methods of production
- Responsibilities: To cooperate with the business, where reasonable to do so, on expansion and other plans

Local Government

- Roles: To provide local services and infrastructure to the business to allow it to operate, produce and sell within legal limits
- Rights: Not to have the community's lives badly affected by the business's activities
- Responsibilities: To meet reasonable requests from the business for local services such as public transport for employees and waste disposal

Government

- Roles:
  - To pass laws that restrain many aspects of business activity
  - To provide law and order and economic stability to allow business activity to take place
- Rights: To expect the business to meet all legal constraints, such as producing only legal goods and to pay taxes on time
- Responsibilities:
  - To treat businesses equally under the law
  - To prevent unfair competition that could damage chances of business survival
  - To establish good trading links with other countries to allow international trade

Lenders

- Roles: To provide finance to the business in different forms
- Rights:
  - To be repaid on the agreed date
  - To be paid finance charges, e.g. interest on loans
- Responsibilities: To provide the agreed amount of finance on the agreed date for the agreed time period

Managers:

- Roles: To control, command and direct resources

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- Rights:
  - To have a contract of employment
  - To have sufficient authority to fulfill roles
- Responsibilities:
  - To report to stakeholders
  - To act legally and ethically

Owners/Shareholders

- Roles: **To give business access to sufficient finance**
- Rights:
  - To receive a share of the profits
  - To receive accurate reports on business performance
- Responsibilities:
  - **Set targets for managers**, ideally on the basis of SMART criteria
  - To give managers adequate time and resources to meet targets

Stakeholder	Roles	Rights	Responsibilities
Customers	To buy goods and services; To give revenue from sales, which allows the business to function and expand	Obtaining goods and services that meet local laws regarding health and safety, design and performance; To be offered replacements, repairs or compensation if the product or service fails the minimum levels laid down by law	Honesty – Payment for goods bought or services received when requested; Not committing theft; Not to make false claims about poor service, underperforming goods or failed items, to tarnish business's reputation out of personal spite
Suppliers	To supply goods and services to allow the business to offer its products to its own customers	On-time payment as discussed or written in the service agreement between the business and suppliers; Fair treatment and not to be exploited by the customer business	Supply goods and services ordered by the business in the time and condition agreed upon by the purchase contract or supplier's service agreements
Employees	Provide manual and other labor services to the business, in accordance with the employment contract, to help in production of goods and services to be supplied to customers	Having an employment contract that meets legal standards, e.g. minimum wage rate; Treatment and payment in accordance with agreement on employment contract; In most countries, to be allowed to join a trade union if desired without repercussions	Meeting the conditions and responsibilities of the employment contract; Ability to cooperate with management in all reasonable requests; Observance the ethical code of conduct of the business
Local Community	To provide the labor services required by the business	To be consulted about major changes that affect it, e.g. expansion plans or changing methods of production	To cooperate with the business, where reasonable to do so, on expansion and other plans
Local Government	To provide local services and infrastructure to the business to	Not to have the community's lives badly affected by the business's activities	To meet reasonable requests from the business for local services such as public transport

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Stakeholder	Roles	Rights	Responsibilities
	allow it to operate, produce and sell within legal limits		for employees and waste disposal
Government	To pass laws that restrain many aspects of business activity; To provide law and order and economic stability to allow business activity to take place	To expect the business to meet all legal constraints, such as producing only legal goods and to pay taxes on time	To treat businesses equally under the law; To prevent unfair competition that could damage chances of business survival; To establish good trading links with other countries to allow international trade
Lenders	To provide finance to the business in different forms	To be repaid on the agreed date; To be paid finance charges, e.g. interest on loans	To provide the agreed amount of finance on the agreed date for the agreed time period
Managers	To control, command and direct resources	To have a contract of employment; to have sufficient authority to fulfill roles	To report to stakeholders; to act legally and ethically
Owners/Shareholders	To give business access to sufficient finance	To receive a share of profits; to receive accurate reports on business performance	Set targets for managers, ideally on basis of SMART criteria; to give managers adequate time and resources to meet targets

1.2. Significance and Reaction of Stakeholders to

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Business Decisions:

Business Decision	Stakeholder Response	Employees	Local Community	Customers
Build new factory to expand business	Impact	Job opportunities	More employment for local residents and rise in spending in local businesses	Greater efficiency leading to lower prices
		New working method in new factory requiring new skills	Possible disruption due to increased pollution and traffic levels	Concern about whether the focus will shift from quality to quantity.
	Reaction	Increased number of job seekers	May seek to deny planning permission	Will purchase more products if prices decrease while maintaining the same quality
		Trade unions might push for higher wages for more skilled work	Might impose restrictions on large trucks	
			May organize a petition or boycott	
Horizon Integration/Takeover	Impact	The merged company could become more stable and provide increased career advancement opportunities	Expansion on the existing site could lead to more local jobs and higher incomes	Economies of scale could result in lower prices
		Rationalization aimed at reducing waste and cutting costs might lead to job losses	Rationalization of overlapping facilities might cause closures and job losses	Reduced competition might lead to higher prices and fewer choices
	Reaction	There may be industrial action if job security is compromised	The community might urge the government to block the takeover if it threatens job losses and facility closures	Customers could respond with a boycott if prices increase due to decreased competition
Purchase of IT-controlled	Impact	Training and advancement opportunities	Local IT service providers	More efficient and

Business Decision	Stakeholder Response	Employees	Local Community	Custom
automated machines		may be provided	might see increased orders	adaptab product process could le to improv quality a a wide range o produc
		Fewer untrained workers will be needed; those unable to acquire new skills could face redundancy	There will be a need for skilled workers, reducing the number of unskilled job opportunities	Issues w IT reliabi might result i supply delays
	Reaction	Workers facing redundancy might take industrial action	There may be calls for retraining programs for the unemployed who lack skills	Increas deman may foll if the produ quality remain high

1.3. How to solve conflict which arises from satisfying different stakeholder aims

- The traditional shareholder perspective argues that focusing on stakeholders other than shareholders might reduce profits due to non-essential costs.
- The stakeholder approach suggests that addressing the needs of various groups can ultimately benefit shareholders.

Conflicts between stakeholder goals often require compromises, such as:

1. Gradually phasing out a product line to support employees.
2. Relocating new facilities to minimize local disruption.
3. Funding noise reduction for residents affected by extended airport operations.

Senior management must:

1. Prioritize stakeholders.
2. Weigh additional costs.
3. Assess the impact of negative publicity on revenue.
4. Balancing these conflicting interests is a key reason for higher executive compensation.

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